Case Study

Coffee Consumer Analysis: Nescafe vs Starbucks

A Strategic Consumer Segmentation & Opportunity Study

STARBUCKS

NESCAFÉ

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Two Brands. Two Consumer Universes. One Opportunity

Nescafe Consumers

- Mass-market, value-driven and price-sensitive buyers
- Primarily from lower-income, large households
- Focus on affordability, practicality, and everyday consumption

Starbucks Consumers

- Premium, affluent and lifestyle-oriented segment
- Middle-aged, financially stable and urban-centric
- Driven by quality, experience and brand value over price

Behavioral Gap

- Clear gap between value-driven and premium consumer segments
- Growing aspirational middle market creates expansion potential

Strategic Opportunity

- Launch premium product variants to attract high-value consumers
- Strengthen digital presence and engagement
- Adopt experience-based marketing to build brand perception

Can Nescafe Break Its Value Ceiling?

Problem Statement

To analyze and compare the consumer characteristics, preferences, and behavioral patterns of Nescafe and Starbucks shoppers using index-based segmentation, in order to identify key differences and develop actionable strategies for Nescafe to attract and capture premium, lifestyle-oriented Starbucks consumers within the latest 52 Weeks period

Research Objectives

- Profile demographic & behavioral traits of Nescafe and Starbucks buyers.
- Identify over-indexed segments using consumer index methodology.
- Benchmark preference differences across media, lifestyle & shopping.
- Recommend a SMART strategic roadmap for Nescafe to capture premium consumers.

Methodology: Index-Based Segmentation

Approach Used

- Index-based analysis
- Over-Index >110 = Strong
- Under-Index <90 = Weak

Demographic Dimensions

- Age group
- Income level
- Education level
- Employment status

Household Dimensions

- Household size
- Life stage
- Family composition
- Urban vs suburban

Behavioral Dimensions

- Shopping attitudes
- Brand loyalty
- Online vs offline
- Impulsive vs planned

Lifestyle Dimensions

- Dietary preferences
- Fitness & activities
- Financial attitudes
- Advertising receptivity

Nescafe Buyer: Budget-Conscious & Offline-First

Demographic & Household

- Millennials (25-44) are the dominant age cohort
- Over-indexed in lower-income households
- Lower educational attainment mass-market orientation
- Larger families (4+ members) with higher daily consumption needs
- Urban-struggling and lower-middle-class socio-economic profile

Behavioral & Lifestyle

- Highly price-sensitive and budget-conscious buyers
- Strong brand association brand name = quality (Index 179)
- Exploratory: willing to try new products (Index 257)
- Offline-first: prefer physical stores over online platforms
- Active lifestyle tennis (700), marathon (692), crossfit (480)

Nescafe buyers can be characterized as mass-market, value-driven consumers who prioritize affordability, practicality, and everyday consumption needs. They are typically from lower income households, have larger family sizes, and exhibit price-sensitive purchasing behavior.

Starbucks Buyer: Affluent, Urban & Experience-Driven

Demographic & Household

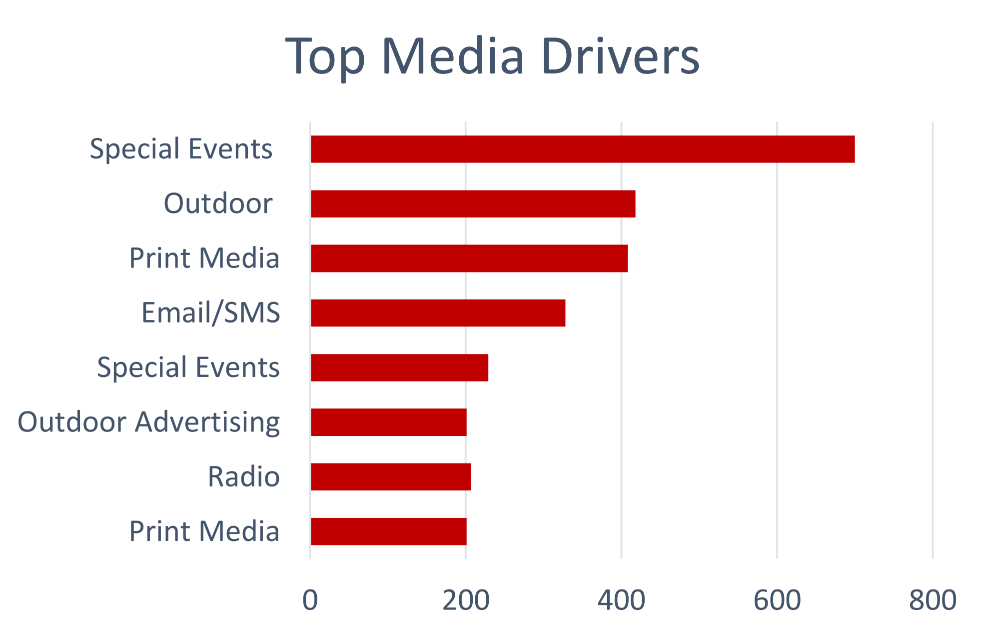
- Middle-aged (35-54) financially stable professionals
- Strongly over-indexed among $125K+ household income earners
- Self-employed and professionally active segments dominate
- Present across family sizes from singles to large households
- Urban-affluent and suburban-affluent lifestyle classification

Behavioral & Lifestyle

- Experience-driven purchasing quality over price always
- Status-oriented mindset; brand = personal identity
- Health-conscious: over-indexed in vegan, gluten-free, grain-free
- Active outdoor lifestyle: hiking, yoga, golf, tennis, CrossFit
- Responds to experiential marketing, events, and digital channels

Starbucks buyers can be characterized as premium, affluent, and lifestyle-oriented consumers who are typically middle-aged, financially stable, and urban-centric. They exhibit higher purchasing power and are more inclined towards quality, experience, and brand value rather than price.

Nescafe Shoppers Trust Print - Not the Internet



Shopping Behavior

Exploratory & impulsive; open to new products (Index 257). Prefers physical stores (197) over online.

Financial Attitude

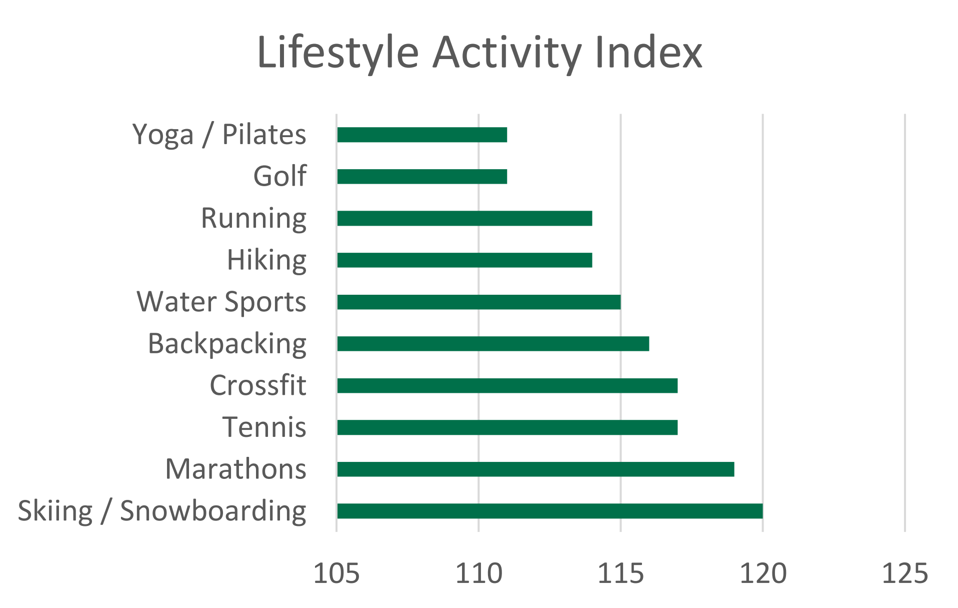
Short-term, spending-oriented. More likely to delay savings (215) and use credit (112).

Brand Loyalty

Strong preference for popular brand names (433). Status-driven (727) despite value-conscious profile.

Nescafe shoppers can be characterized as traditional, value-conscious, and offline-oriented consumers who respond strongly to conventional advertising channels. They exhibit a mix of impulsive and exploratory buying behavior, with moderate brand loyalty and limited digital engagement.

Starbucks Shoppers Are Active, Healthy & Experience-Led



Media & Marketing

Responds to outdoor advertising & special events. Prefers experiential, interactive brand activations.

Dietary Preferences

Strongly health-conscious: vegan, vegetarian, gluten-free and grain-free diets over-indexed.

Shopping Attitude

Status-driven purchasing (over-indexed). Associates brand with personal identity and lifestyle signaling.

Starbucks shoppers can be characterized as lifestyle-oriented, health-conscious, and experience-driven consumers who prioritize quality, wellness, and brand image over price.

Zero Overlap: Structurally Distinct Consumer Segments

DIMENSION	NESCAFE	STARBUCKS
Age Profile	Millennials (20-35)	Middle-aged (35-54)
Income Bracket	Lower-income households	High-income ($125k+)
Education Level	Mass-market education profile	Higher-education professionals
Lifestyle Orientation	Practical & utility-focused	Aspirational & experience-led
Media Response	Print, radio, in-store promo	Outdoor, events, experiential
Shopping Channel	Physical retail; offline-first	Digitally active; omnichannel
Financial Behavior	Spending-oriented, credit use	Premium lifestyle spending
Brand Association	Reliability, affordability	Status, identity, quality

Four Markets Nescafe Is Currently Surrendering

01 Digital Presence Gap

Nescafe has near-zero digital engagement among its core base. Starbucks buyers are highly active online a channel Nescafe currently surrenders entirely.

02 Premium Product Whitespace

No Nescafe sub-brand competes in the $5-$8 per-serve segment. This is an uncontested price tier where aspirational mass-market buyers are willing to migrate.

03 Experience Deficit

Nescafe has no café-format or experiential retail presence. The brand has zero experiential equity the primary Starbucks loyalty driver.

04 Urban Affluent Blind Spot

Urban affluent and suburban affluent segments are unaddressed by Nescafe's current mass-market targeting. A significant addressable market sits untapped.

Four SMART Pillars Toward Premiumization

01 Digital & Social Transformation

ACTION: Launch influencer-led social media campaigns targeting 25-44 aspirational segment

TARGET: 30% increase in digital brand recall within 12 months

TIMELINE: 0–6 Months

02 Premium Sub-Brand Launch

ACTION: Introduce 'Nescafe Reserve' as a premium single-origin line at $12–15/unit

TARGET: 5% market share in the premium instant segment within 24 months

TIMELINE: 6–18 Months

03 Experience-Based Marketing

ACTION: Host Nescafe Urban Coffee Events in 10 major cities; partner with cafe chains

TARGET: 1M+ event impressions; 15% uplift in brand NPS in target segments

TIMELINE: 6–12 Months

04 Urban Affluent Consumer Targeting

ACTION: Redirect 25% of media budget to urban-affluent zip codes and digital channels

TARGET: 10% increase in household penetration in target income tier

TIMELINE: 3–12 Months

24-Month Implementation Roadmap

PHASE 1

0-3 Months | Foundation

- Launch premium SKU (Nescafe Gold Artisan)
- Initiate social media influencer program
- Commission urban consumer primary research
- Redesign premium packaging & retail presence

PHASE 2

3-9 Months | Activation

- Roll out 50+ experiential pop-up cafe events
- Launch digital marketing campaign (10M reach target)
- Pilot Nescafe Studio in 3 metro cities
- Partner with upscale delivery platforms

PHASE 3

9-12 Months | Scale & Measure

- Evaluate brand perception shift via index re-survey
- Scale premium cafe formats to 5+ cities
- Introduce loyalty program targeting urban affluent
- Benchmark 5% urban premium market share capture

Thank You